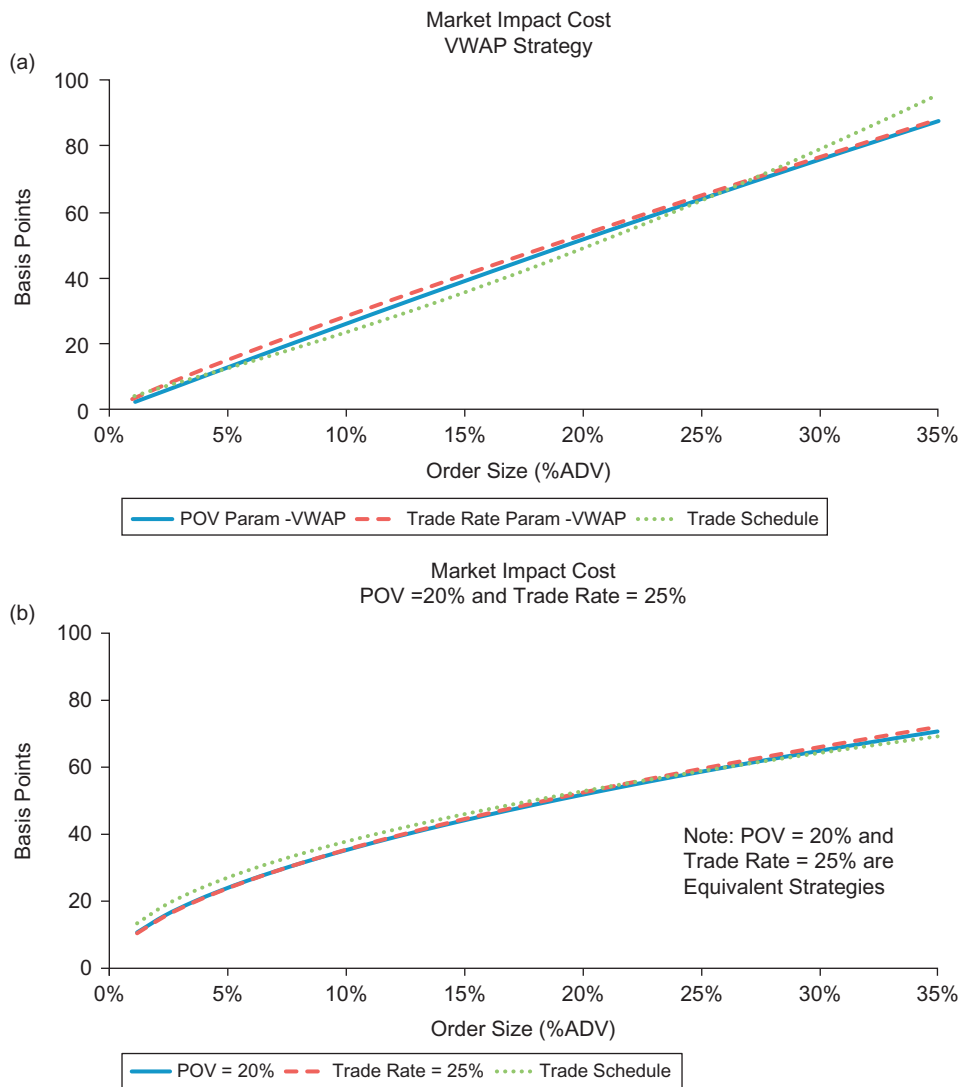




■ **Figure 7.2** Comparison of Market Impact Estimates. (a) Market Impact Cost-VWAP Strategy; (b) Market Impact Cost-Aggressive Strategy.

and trade rate estimates are virtually indistinguishable and the trade schedule estimates only have a slight difference.

Figure 7.2b compares market impact estimates for $POV = 20\%$, and trade rate $\alpha = 25\%$. The trade schedule cost estimates also corresponded to $\alpha = 25\%$ but with $a_4 = 1$. Again there is minimal difference between the three trade strategy definitions.